

FUTURE OUTLOOK

GLOBAL ECONOMIC OUTLOOK

The global economic outlook remains closely linked to geopolitical developments, particularly the conflict in the Middle East and its impact on energy markets and supply chains. Under a baseline scenario where the conflict remains contained and disruptions ease by mid-2026, the IMF's April 2026 World Economic Outlook projects a moderation in global growth. However, a prolonged or intensifying conflict could elevate downside risks, leading to weaker growth prospects amid persistent inflationary pressures and tighter financial conditions.

	2025	2026	2027
Global economic growth	3.4%	3.1%	3.2%
Advanced economies	1.9%	1.8%	1.7%
USA	2.1%	2.3%	2.1%
Euro area	1.4%	1.1%	1.2%
Emerging market and developing economies	4.4%	3.9%	4.2%
China	5.0%	4.4%	4.0%
India	7.6%	6.5%	6.5%

Source: IMF, World Economic Outlook April 2026

	2025	2026	2027
World Bank economic forecast			
Sri Lanka	5%	3.6%	3.8%
Thailand	2.4%	1.3%	2.3%
Indonesia	5.1%	4.7%	5.2%

World Bank economic forecast April 2026

COUNTRY OUTLOOK



SRI LANKA

Global uncertainties, the war in the Middle East and climate related risks present significant downside risks to the Sri Lankan economic outlook. However, improved fiscal and external resilience places the nation in a stronger position to withstand these pressures while broader domestic economic conditions remain conducive to sustained growth across all three sectors of Agriculture, Industry and Services.



THAILAND

Economic growth is expected to moderate as the World Bank projects higher energy prices given the war in the Middle East to exacerbate domestic structural constraints which include, elevated household debt levels, tight credit conditions and a slow tourism recovery.



INDONESIA

The World Bank projects the economy to expand at 4.7% in 2026 as higher oil prices and cautious investor sentiment is expected to be partially offset by commodity revenues and state-led investment initiatives.

INDUSTRY OUTLOOK

DEMAND
DYNAMICS

- » The growth momentum in the global activated carbon industry is expected to continue with an expected expansion approximately 4% to 9% CAGR over the medium to long term, based on estimates from various industry reports
- » Increasingly stringent environmental regulations, a stronger emphasis on controlling pollution, investments in water and air purification infrastructure and global efforts to transition to a low carbon economy are expected to drive growth.
- » Regionally, Asia Pacific is expected to dominate global demand for activated carbon products followed by the USA.
- » The United States and Europe are also expected to demonstrate sustained growth, driven by increasingly stringent regulatory frameworks, including restrictions on PFAS in potable water, as well as tightening standards on air emissions and industrial wastewater discharge, which are expected to support continued demand for advanced purification solutions.

SUPPLY CHAIN
CONSTRAINTS

- » Supply chain challenges are expected to persist given the strong demand for coconut shell-based activated carbon products and limited scalability of raw material supply of coconut shells.
- » Competition for raw materials is likely to remain intense driving pressure on prices.
- » Adverse weather conditions are expected to disrupt coconut yields in key producing countries such as Sri Lanka, Thailand, Philippines and Indonesia.

Through these strategies we expect to deliver the following results in 2026/27.

Targets	2026/27
Revenue growth	>5%
ROE	>10%
Gearing	<50%

FUTURE OUTLOOK



HAYCARB FUTURE OUTLOOK

**MARKET
EXPANSION**

- » Accelerate market diversification and deepen market presence across Asia, Africa, South America, the USA and the Middle East.
- » Continue increasing the contribution from value-added carbon solutions, including energy storage carbons and other specific grade carbons for water, and air purification applications.
- » Commission the manufacturing facility in the Philippines and expand the energy storage carbon production facility.
- » Foster innovation to support the development of new products aligned with evolving market requirements.

**INNOVATION-
DRIVEN GROWTH**

- » Enhance the share of revenue and profitability generated from innovative and value-added carbon solutions, particularly within the energy storage sector.
- » Implement advanced processes that improve operational productivity while strengthening environmental performance.
- » Leverage digital technologies to improve operational excellence and enable data-driven decision-making.

**STRENGTHEN THE
GLOBAL SUPPLY
CHAIN**

- » Undertake strategic initiatives to reinforce supplier networks across key sourcing regions to ensure continuity of raw material supply.
- » Further broaden and diversify supplier partnerships across Vietnam, India and the Philippines.
- » Expand backward integration initiatives while promoting sustainable green charcoaling technologies.

**PURPOSE DRIVEN
AND COMMITTED
TEAMS**

- » Continue creating value for employees through a strong people-focused proposition centred on fair rewards, employee well-being, and continuous growth and development.

**ESG
MINDSET**

- » Remain committed to achieving the Group's 2030 ESG aspirations and targets.

**ENVIRONMENTAL
ENGINEERING**

- » Supported by favorable economic conditions in Sri Lanka and the region, together with growing concerns surrounding safe drinking water, the water and wastewater purification solutions segment is expected to record continued growth, supported by a comprehensive portfolio of accessories, chemicals and O&M-related services.

MANAGING OUR
CAPITALS

A *Horizon* of Progress

Traditional and modern navigation relies on ocean currents, winds, and large-scale patterns that shape route and efficiency. Mariners use the horizon as a constant reference point; guiding direction while interpreting the forces that move beneath it.

Similarly, Haycarb advances through strategic foresight, anticipating global movements instead of reacting to them. Haycarb harnesses its key resources and capabilities while maintaining clear alignment with its strategic objectives, advancing through foresight and proactively anticipating global shifts rather than merely reacting to them.

